NQM FUNDING

UPDATES

Happy New Year! Below please find a summary of updates to our NonQM Guidelines and Matrices for applications submitted and locked effective on or after **January 20, 2025 v1.0.**

- First our matrices have been redesigned with a less colorful, cleaner look and layout.
- All matrices have been split into one (1) individual matrix per Program, grids have been created for each occupancy type, followed by both Full and Alt income documentation, general and underwriting requirements.
- Flex Select will continue to include Express (DU).
- For ITIN Borrowers, we have extracted the ITIN requirements from Flex Select and created an individual Select ITIN Program Matrix.
- Flex Supreme has undergone many enhancements; program names have been modified slightly, and we are introducing a new program "DSCR Supreme" which will be our most competitively priced DSCR program for highly qualified investors.

Program Names – Some Programs have slight name updates as follows:

- **Flex Supreme** remains the same
- Select Prime is now **Flex Select** with 2 Matrices:
  - Delegated Correspondent Channel *(Allows Co-ops and Manufactured Housing. Must use TPO's Closing Plan Codes.)*
  - Non-Delegated Correspondent & Wholesale/Broker Channel
- **Select ITIN** (NEW Standalone Matrix)
- **Super Jumbo** remains the same
- **2nd Lien** remains the same
- **DSCR Supreme** (NEW PROGRAM – Best Priced DSCR)
- **Investor DSCR (1-4 Units)** remains the same
- DSCR 5-10 Units Residential & 2-8 Mixed Use is now **DSCR Multi & Mixed**
- **Foreign National** remains the same for Full Doc, Asset Utilization and DSCR 1-4 Units. For Multi Family and Mixed, please refer to the DSCR Multi & Mixed Program matrix.

Program Matrices – Updated as follows:

- **Flex Supreme:**
  - Matrix: Matrices have been broken down by Occupancy.
  - Credit Score Requirements: the qualifying score has been changed to the highest income earner's qualifying score; and, the highest middle score of 3 scores will be used to qualify.
  - Credit/Housing Events: added that borrowers with credit/housing events 48 months in the past must qualify a max DTI of 43%
  - Products:
    - Deactivated the 20 Year Fixed Rate
    - Added 5/6 and 7/6 SOFR ARMs Fully Amortizing
  - I/O: Added Min 700 FICO and Max 75% LTV; and FTHB are ineligible.
  - Max Loan Amount: has been reduced to $3.0M
  - DTI: When DTI is > 43%>= 740 FICO is required.

- Occupancy: added Investment Properties (1-4 Units)
- Max Cash-Out: Changed from $1,000,000 to:
  - <=70 LTV: Unlimited
  - >70 LTV: $500,000
- Eligible Borrowers:
  - Non-Permanent Resident Aliens added Max 75% LTV
  - Non-Occupant Co-Borrowers: added eligibility for r for OO only, max 43% DTI, cash-out is not permitted.
- Property Type:
  - Warrantable Condo: reduced the max LTV from 80% to 75%.
  - Rural Properties for Primary use only allowed to a max of 70% LTV (Per Guides). Cash-out is not permitted.
- Declining Markets: requires a 5% LTV reduction from all matrix LTVs which is different than Flex Select.
- First Time Homebuyers: added Max DTI 43% and I/O loans not permitted.

- **Flex Select** – Updated Property Type eligibility as follows:
  - Max DTI 55%: clarified that minimum residual income requirement for this option is $3,500 and it is not available with Buydowns or 40-Yr terms.
  - 2-1 Buydown: clarified the max DTI is 50%.
  - P&L with 2 months Bank Statements:
    - Added Max 80% LTV and removed > 85% to $1.5M with 760 FICO.
  - Warrantable Condo Requirements: clarified that a max LTV of 80% for OO can be used with a Full Review; and 75% with a Limited Review. See the Matrix for SH & NOO LTV Limits.
  - Co-ops: Eligible for the Delegated Correspondent Channel only, as follows:
    - Co-op Project approval file must contain evidence regarding the project's compliance with Section 216.
    - Must meet FNMA B4-2.3-02, Co-op Project Eligibility with the exception of the following overlays:
      - Warrantable Co-ops in the New York City 5 Boroughs only: Bronx, Brooklyn, Manhattan, Queens, and Staten Island.
      - Eligible Programs: Flex Select including Express (DU) and Super Jumbo.
      - Max 80% LTV
      - Primary, Second Home, and Investment Property allowed.
      - Purchase and Rate/Term Refinance only.
      - Subordinate Financing is not permitted.
      - Borrower Eligibility: U.S. Citizens, Permanent Resident Alien, and Non-Permanent Resident Alien; ITIN are not permitted.
      - Refer to Guidelines for LTV calculation and documentation requirements for co-ops.
      - Delegated Correspondents must use their own Closing Plan Codes.
  - Manufactured Housing: Eligible for the Delegated Correspondents Channel only, as follows:
    - Width: Minimum 20' wide (Double-wide) with a minimum 750+ sq ft.

- Age: Home may not be older than 5 years
- Property Requirements: must meet "HUD Code" including to be built on a perm chassis, installed on a perm foundation, and title as real estate, home may not be older than 5 years; or if in need of repairs (as per the appraisal) of more than 5% of the property value. Refer to the Guidelines for additional requirements.
- Program eligibility: Flex Select only.
- Eligible Transactions:
  - Occupancy: Primary and Second Home only
  - Loan Purpose: Cash-Out is not permitted.
  - Min FICO: 680
  - Max LTV: 80%
- May not be older than 5 years old or if in need of repairs (as per the appraisal) of more than 5% of the property value.
- NOO, I/O loans and ITIN borrowers are not permitted.

- **Select - ITIN** – Updated as follows:
  - Alt Doc: 12- or 24- months CPA /Tax Prep/EA P&L and 2 months bank statement are no longer permitted.
- **Super Jumbo** – No updates other than the matrix redesign.
- **2nd Lien** – Matrix redesigned and updated as follows:
  - 24 Months CPA/EA Prepared P&L Statement: added Tax Preparer to list of eligible preparers.
- **DSCR Supreme** – NEW PROGRAM ROLL-OUT
  - Program Highlights:
    - DSCR Ratio: Min 1.00, and first time investor 1.25%
    - Max LTV: 80%
    - Loan Amounts: Min $150,000 – Max $2,000,000
    - Housing History: 0x30x12
    - Max Cash-out: $1,000,000 (>= 6 months seasoning required and not permitted in Declining Markets)
    - Ineligible Borrowers: Non-Permanent Resident Alien, ITIN, Foreign National
    - Reserves: <= $500K = 3 months or > $500K = 6 months
- **Investor DSCR (1-4 Units)** – Updated as follows:
  - DSCR Calculation Methods: Removed Option 3 – AirDNA "Revenue Calculator/Property Earning Potential."
- **DSCR Multi & Mixed** – Matrix redesigned and updated as follows:
  - Products: Added the 5/6 and 7/6 SOFR ARMs, 30-Yr Term Fully Amortizing
- **Foreign National** – Updated as follows:
  - DSCR Calculation Methods: Removed Option 3 – AirDNA "Revenue Calculator/Property Earning Potential."
- **Prepayment Penalty Matrix (PPP Matrix)** – Removed
  - Formerly our Matrices document included a PPP Matrix. Effective with this update, that matrix has been removed. The Prepayment section in each matrix now points the users to the "**Business Purpose Licensing & PPP Restrictions"** PDF in the Documents Tab in the Client Portal and/or the

rate sheets where applicable for guidance.

Guidelines – Updated as follows:

- **2-1 Temporary Buydown** – Updated as follows:
  - Identified all eligible and all ineligible Programs for clarity.
  - 2-1 Buydown section was added to all Matrices.
- **Exceptions** – Updated as follows:
  - Added DSCR Supreme to ineligible Programs for exceptions and updated program names.
  - Top Compensating factors: updated DSCR Ratio to 1.15 or greater
- **Waiving Escrows** – Section is now **Escrow Waivers.**
- **Investment Property (Business Purpose)** – Updated as follows:
  - The requirements for Retail/Wholesale and Correspondent has been reworded for clarity.
- **Cash-Out Refinance – Eligibility Requirements** – Clarified as follows:
  - A signed Borrower Certification of Business Purpose, disclosing the purpose of cash out, is required for Business Purpose loans.
- **Flip Transactions** – Updated as follows:
  - For clarity, removed a bullet referencing true construction loans.
- **Non-Arm's Length Transactions** – Updated as follows:
  - Removed the requirement to provide the payment history for the seller's mortgage on the subject property.
  - Added a requirement to Family sales: a Payoff statement for the subject property may not show any signs that the transaction is a bailout.
- **New York CEMA** – Clarified as follows:
  - Correspondents are responsible for utilizing attorneys with expertise in reviewing and preparing CEMA documents.
- **Non-Permanent Resident Aliens** – Updated as follows:
  - Ineligible for DSCR Supreme
  - Added L-1 visa type as acceptable for all Programs.
- **Non-Occupant Co-Borrowers** – Updated as follows:
  - Added a link to Flex Supreme – Borrower Eligibility for newly added eligibility and restrictions.
- **Vesting and Ownership – Fee Simple Ownership** – Clarified as follows:
  - Tenants in Common with unequal ownership are not eligible for Flex Supreme.
  - Added Irrevocable Trust to ineligible forms of vesting.
  - Entity Vesting – Clarified as follows:
    - Tax Identification Number (EIN):
      - Single member may use the EIN or the guarantor's social security number
      - Multiple member LLC the EIN is required.
- **Multiple Financed Properties and NQMF Exposure** – Updated as follows:
  - The maximum exposure to a single borrower on the Investor DSCR No Ratio option is $7.5M in unpaid principal balance or ten properties.
- **Ineligible Borrowers** – Clarified as follows:
  - Irrevocable Trust are ineligible.

- **Tradelines Specific to Housing History** – Updated as follows:
  - Manufactured housing/mobile home loans indicated as repossessions, collections, or charge-offs are considered foreclosures.
  - Loan Modification / Restructured Mortgage loans: 4 years seasoning after the event date to the closing date.
    - Restructured Mortgage loans that resulted in any type of partial forgiveness, principal curtailment, or conversion are ineligible.
- **Flex Select – Express (DU)** – Clarified as follows:
  - If Express (DU) is used all mortgage and rental payments must be paid and agreed for the last 12 months.
- **No Housing History or Less than 12 Months Verified (Including Rent-Free)** – Added a section to address Flex Supreme Rent-Free requirements.
- **Short Term Rentals** – Clarified as follows:
  - STRs are not permitted for Investor DSCR No Ratio.
- **Eligible Assets** – Updated as follows:
  - The qualified assets and reserves may be deposited in financial institution(s) outside of the United States subject to State/LTV restrictions. The value of the asset must be converted to US dollars using the current exchange rate.)
- **Ratios and Qualifying – Debt to Income Ratios (DTI)** – Updated as follows:
  - Must meet residual income requirements for 2nd homes and Investment Properties (Refer to the Residual Income section).
- **Asset Documentation** – Reworded the Large Deposits bullet as underlined:
  - Large deposits on purchase transactions when personal accounts are used must be documented. Large deposits are not required to be sourced when the deposit is not used in the income calculation for business accounts or refinance or DSCR. Note that when using Alt Doc for Income Purposes, large deposits must be documented in accordance with the Bank Statement Analysis Requirements.
- **Secondary/Subordinate Financing** – Reworded for clarification as follows:
  - Purchase and refinance transactions with new simultaneous 2nd lien are eligible when HCLTV does not exceed max LTV/HCLTV stated in the most restrictive of the 1st or 2nd lien product matrices.
  - Refinance transactions with existing 2nd Lien may be re-subordinated. The HCLTV may not exceed 90% on O/O and 85% on a 2nd home, The 2nd lien must be institutional. HELOC line limits may be paid down to meet HCLTV caps. Lines reduced or balances paid down must be fully documented including source of funds.
  - Borrowers who currently have a secondary lien with an interest only payment, must be qualified with the fully amortizing payment.
- **Minimum Property Standards** – Updated as follows:
  - For Condotels, a minimum unit square footage is not required; however, units must contain a full-size kitchen and kitchen appliances to be eligible for financing. In addition, similarly sized comparable from competing projects must be provided to demonstrate market acceptance for units with < 400 square feet.
  - For single family, 2+, condominiums, and DSCR 5-10 Residential or 2-8

Mixed Use, must contain a minimum of 400 square feet per unit; except for Manufactured Housing which requires a minimum of 750 sq ft.

- **Eligible Property Types** – Updated as follows:
  - Co-operative Units – eligible for Delegated Correspondent Only via the Flex Select Program (Refer to the Matrix and Co-operatives Section for specific Requirements.
  - Manufactured Housing – eligible for Delegated Correspondent Only via the Flex Select (Refer to the Matrix for specific requirements)
  - Churches – Added to the ineligible property types.
- **Property Considerations – Accessory Units** – Updated as follows:
  - Clarified that 2 comparables are required with similar additional ADUs.
  - If all Appraisal consideration listed in this Guide section are not met, appraisal/appraiser must give the accessory unit zero value.
- **Leasehold Appraisal Requirements** – Clarified as follows:
  - Community Land Trusts not eligible for Flex Supreme.
- **Condominiums** –Updated as follows:
  - General Condo Requirements:
    - The priority of common expense assessments applies (added a link to this section).
    - The standard condominium project insurance requirements apply (added a link to this section).
  - Warrantable Condo Requirements: Clarified to distinguish between Full & Limited Review LTVs as shown below:
    - Condos – Warrantable / Non-Warrantable
      - Purchase & Rate/Term: Max 85% LTV
    - Condos Cash-out: 75% LTV
    - Limited Review Established Condos Outside of Florida (Warrantable) LTV/CLTV Limits:
      - Primary 85%, SH 75%; and NOO 75%
    - Limited Review Established Condos in Florida (Warrantable) LTV/CLTV Limits:
      - Primary 75%/90%; SH 70%/75%; and NOO: 70%/75%
  - Non-Warrantable Condo Requirements: Reworded the Single entity ownership to clarify when exceptions may be considered.
- **Co-operatives (Co-op)** – Added a new section to the guide which includes:
  - Co-op Eligibility Requirements (Eligible via the Flex Select Program only, for the Delegated Correspondent Channel only)
  - Co-op Project Requirements
  - Calculating the LTV Ratio for Co-op Share loans
  - Co-op Loans Requirements Documentation (In addition to standard loan delivery documentation)
  - Delegated Correspondent Responsibilities.
- **Manufactured Housing** – Added a new section to the Guide (Eligible via the Flex Select Program only, for the Delegated Correspondent Channel only)
- **DSCR Supreme and Investor DSCR Programs** – Updated as follows:
  - The Investor DSCR (1-4 Units) section is now shared with the new DSCR Supreme Program. Overlays are addressed in the related Program

Matrices and in this section of the Guide.
    - Required DSCR Ratios – Updated to distinguish the DSCR Ratio requirements for DSCR Supreme and Investor DSCR
    - Investor DSCR Program – DSCR Calculation and Minimum DSCR (header renamed)
    - DSCR Supreme Program – DSCR Calculation Methods and Minimum DSCR Added a header for DSCR Supreme requirements.
- **DSCR Multi & Mixed (5-10 Units Residential and 2-8 Units Mixed Use)** – Updated as follows:
    - Prohibited Property Use: Adult Activities (including bars where food is not served and/or any establishment where one must be an Adult to enter).